

RAILROAD COMMISSION OF TEXAS
OIL AND GAS DIVISION

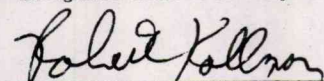
W-3

pg. 1 of 2
API NO. 42-461-32677
(if available)

FILE IN DUPLICATE WITH DISTRICT OFFICE OF DISTRICT IN WHICH WELL IS LOCATED WITHIN THIRTY DAYS AFTER PLUGGING										1. RRC District 7C
2. FIELD NAME (as per RRC Records) Wildcat					3. Lease Name Kimbell					4. RRC Lease or Id. Number NA
6. OPERATOR ARCO Oil and Gas					6a. Original Form W-1 Filed in Name of: ARCO Oil and Gas Company					5. Well Number 1
7. ADDRESS Box 1610, Midland, TX 79702					6b. Any Subsequent W-1's Filed in Name of:					10. County Upton
8. Location of Well, Relative to Nearest Lease Boundaries of Lease on which this Well is Located 1850 Feet From south Line and 1980 Feet From west Line of the Kimbell Lease					9a. SECTION, BLOCK, AND SURVEY Sec 3, GC & SF RR Co. A-159					11. Date Drilling Permitted 9-11-87
16. Type Well (Oil, Gas, Dry) dry					Total Depth 10,734					12. Permit Number 335816
17. If Multiple Completion List All Field Names and Oil Lease or Gas ID No.'s 8.2 miles SW from Rankin					13. Date Drilling Commenced 9-24-87					14. Date Drilling Completed 11-8-87
18. If Gas, Amt. of Cond. on Hand at time of Plugging					15. Date Well Plugged 11-8-87					
CEMENTING TO PLUG AND ABANDON DATA:										
*19. Cementing Date	PLUG #1	PLUG #2	PLUG #3	PLUG #4	PLUG #5	PLUG #6	PLUG #7	PLUG #8		
11-8-87	11-8-87	11-8-87	11-8-87	11-8-87	11-8-87	11-8-87	11-8-87	11-8-87	11-8-87	
20. Size of Hole or Pipe in which Plug Placed (inches)	7 7/8	7 7/8	7 7/8	7 7/8	7 7/8	7 7/8	8 5/8	7 7/8	8 5/8	
21. Depth to Bottom of Tubing or Drill Pipe (ft.)	10627	9753	8882	8411	7661	4198	2982	495		
*22. Sacks of Cement Used (each plug)	65	100	55	140	50	40	45	35		
*23. Slurry Volume Pumped (cu. ft.)	76.7	118	64.9	165.2	59	52.8	59.4	46.2		
*24. Calculated Top of Plug (ft.)	10400	9404	8690	7922	7486	4040	2816	365		
25. Measured Top of Plug (if tagged) (ft.)										
*26. Slurry Wt. #/Gal.	15.6	15.6	15.6	15.6	15.6	14.8	14.8	14.8		
*27. Type Cement	H # 2	WR-2				C	C	C		
28. CASING AND TUBING RECORD AFTER PLUGGING										
SIZE	WT. #/FT.	PUT IN WELL (ft.)	LEFT IN WELL (ft.)	HOLE SIZE (in.)	29. Was any Non-Drillable Material (Other than Casing) Left in This Well? ☐ Yes ☒ No					
13-3/8	54.5	450	450	17-1/2	29a. If answer to above is "Yes" state depth to top of "junk" left in hole and briefly describe non-drillable material. (Use Reverse Side of Form if more space is needed.)					
8-5/8	24.28	2922	2922	11						
30. LIST ALL OPEN HOLE AND/OR PERFORATED INTERVALS										
FROM	2922	TO	11,734 OH		FROM		TO			
FROM		TO			FROM		TO			
FROM		TO			FROM		TO			
FROM		TO			FROM		TO			
FROM		TO			FROM		TO			

I have knowledge that the cementing operations, as reflected by the information found on this form, were performed as indicated by such information.

* Designates items to be completed by Cementing Company. Items not so designated shall be completed by Operator.



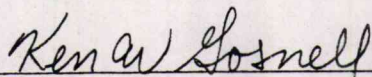
Signature of Cementer or Authorized Representative

The Western Company

Name of Cementing Company

CERTIFICATE:

I declare under penalties prescribed in Sec. 91.143, Texas Natural Resources Code, that I am authorized to make this report, that this report was prepared by me or under my supervision and direction, and that data and facts stated therein are true, correct, and complete, to the best of my knowledge.



REPRESENTATIVE OF COMPANY

Engr. Tech.
TITLE12-30-87
DATEPhone 915/688-5672
A/C NUMBER

SIGNATURE: REPRESENTATIVE OF RAILROAD COMMISSION

LTR TEX WATER COMM

Dated 9-14-87

Rec. 20/400 ft.

31. Was Well filled with Mud-Laden Fluid, according to the regulations of the Railroad Commission ☒ Yes ☐ No		32. How was Mud Applied?		33. Mud Weight 9.5 LBS/GAL	
34. Total Depth 10,734	Other Fresh Water Zones by T.D.W.R. TOP BOTTOM	35. Have all Abandoned Wells on this Lease been Plugged according to RRC Rules? ☒ Yes ☐ No			
Depth of Deepest Fresh Water 400		36. If NO, Explain			
37. Name and Address of Cementing or Service company who mixed and pumped cement plugs in this well The Western Company, Box 507, Rankin, Texas 79778				Date RRC District Office notified of plugging 11-7-87	
38. Names and Addresses of Surface Owner of Well Site and Operators of Offset Producing Leases Surface: Eugene Kelton, P. O. Box 901, McCamey, Texas 79752 R. R. Kennedy Production, Drawer DD, McCamey, Texas 79752					
39. Was Notice Given Before Plugging to Each of the Above? No. P&A'd with drilling rig on location.					
FILL IN BELOW FOR DRY HOLES ONLY					
40. For Dry Holes, this Form must be accompanied by either a Driller's, Electric, Radioactivity or Acoustical/Sonic Log or such Log must be released to a Commercial Log Service. ☒ Log Attached ☐ Log released to _____ Date _____ Type Logs: ☐ Driller's ☐ Electric ☐ Radioactivity ☐ Acoustical/Sonic					
41. Date FORM P-8 (Special Clearance) Filed? NA					
42. Amount of Oil produced prior to Plugging zero bbls* * File FORM P-1 (Oil Production Report) for month this oil was produced					
RRC USE ONLY Nearest Field _____					

REMARKS

31. Was Well filled with Mud-Laden Fluid, according to the regulations of the Railroad Commission		☒ Yes ☐ No	32. How was Mud Applied?		33. Mud Weight 9.5 LBS/GAL
34. Total Depth 10,734	Other Fresh Water Zones by T.D.W.R. TOP BOTTOM		35. Have all Abandoned Wells on this Lease been Plugged according to RRC Rules? ☒ Yes ☐ No		
Depth of Deepest Fresh Water 400		36. If NO, Explain			
37. Name and Address of Cementing or Service company who mixed and pumped cement plugs in this well The Western Company, Box 507, Rankin, Texas 79778				Date RRC District Office notified of plugging 11-7-87	
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39. Was Notice Given Before Plugging to Each of the Above? No. P&A'd with drilling rig on location.					
FILL IN BELOW FOR DRY HOLES ONLY					
40. For Dry Holes, this Form must be accompanied by either a Driller's, Electric, Radioactivity or Acoustical/Sonic Log or such Log must be released to a Commercial Log Service.					
☒ Log Attached ☐ Log released to _____ Date _____					
Type Logs:					
☐ Driller's ☐ Electric ☐ Radioactivity ☐ Acoustical/Sonic					
41. Date FORM P-8 (Special Clearance) Filed? NA					
42. Amount of Oil produced prior to Plugging <u>zero</u> bbls*					
* File FORM P-1 (Oil Production Report) for month this oil was produced					
RRC USE ONLY					
Nearest Field _____					

REMARKS _____

RAILROAD COMMISSION OF TEXAS
OIL AND GAS DIVISION

W-3

pg. 2 of 2

FILE IN DUPLICATE WITH DISTRICT OFFICE OF DISTRICT IN WHICH WELL IS LOCATED WITHIN THIRTY DAYS AFTER PLUGGING				API NO. <u>42-461-32677</u> (if available)		1. RRC District 7C							
2. FIELD NAME (as per RRC Records) Wildcat				3. Lease Name Kimbell		5. Well Number 1							
6. OPERATOR ARCO Oil and Gas Company				6a. Original Form W-1 Filed in Name of:		10. County Upton							
7. ADDRESS				6b. Any Subsequent W-1's Filed in Name of:		11. Date Drilling Permit Issued 9-11-87							
8. Location of Well, Relative to Nearest Lease Boundaries of Lease on which this Well is Located				Feet From _____ Line and _____ Feet From _____ Line of the _____ Lease		12. Permit Number 335816							
9a. SECTION, BLOCK, AND SURVEY Sec 3, GC & SF RR Co. A-159				9b. Distance and Direction From Nearest Town in this County		13. Date Drilling Commenced 9-24-87							
16. Type Well (Oil, Gas, Dry)		Total Depth		17. If Multiple Completion List All Field Names and Oil Lease or Gas ID No.'s <table border="1" style="width:100%; border-collapse: collapse;"> <tr> <th>GAS ID or OIL LEASE #</th> <th>Oil - O Gas - G</th> <th>WELL #</th> </tr> <tr> <td> </td> <td> </td> <td> </td> </tr> </table>		GAS ID or OIL LEASE #	Oil - O Gas - G	WELL #				14. Date Drilling Completed 11-8-87	
GAS ID or OIL LEASE #	Oil - O Gas - G	WELL #											
18. If Gas, Amt. of Cond. on Hand at time of Plugging		15. Date Well Plugged 11-8-87											

CEMENTING TO PLUG AND ABANDON DATA:									
*19. Cementing Date	PLUG #1	PLUG #2	PLUG #3	PLUG #4	PLUG #5	PLUG #6	PLUG #7	PLUG #8	
11-8-87									
20. Size of Hole or Pipe in which Plug Placed (inches)	8 5/8								
21. Depth to Bottom of Tubing or Drill Pipe (ft.)	30								
*22. Sacks of Cement Used (each plug)	10								
*23. Slurry Volume Pumped (cu. ft.)	13.2								
*24. Calculated Top of Plug (ft.)	Surface								
25. Measured Top of Plug (if tagged) (ft.)									
*26. Slurry Wt. #/Gal.	14.8								
*27. Type Cement	C								

28. CASING AND TUBING RECORD AFTER PLUGGING				29. Was any Non-Drillable Material (Other than Casing) Left in This Well ☐ Yes ☐ No	
SIZE	WT. #/FT.	PUT IN WELL (ft.)	LEFT IN WELL (ft.)	HOLE SIZE (in.)	29a. If answer to above is "Yes" state depth to top of "junk" left in hole and briefly describe non-drillable material. (Use Reverse Side of Form if more space is needed.)

30. LIST ALL OPEN HOLE AND/OR PERFORATED INTERVALS					
FROM	TO	FROM	TO	FROM	TO
FROM	TO	FROM	TO	FROM	TO
FROM	TO	FROM	TO	FROM	TO
FROM	TO	FROM	TO	FROM	TO
FROM	TO	FROM	TO	FROM	TO

I have knowledge that the cementing operations, as reflected by the information found on this form, were performed as indicated by such information.

* Designates items to be completed by Cementing Company. Items not so designated shall be completed by Operator.

Boled Kallner

Signature of Cementer or Authorized Representative

The Western Company

Name of Cementing Company

CERTIFICATE:

I declare under penalties prescribed in Sec. 91.143, Texas Natural Resources Code, that I am authorized to make this report, that this report was prepared by me or under my supervision and direction, and that data and facts stated therein are true, correct, and complete, to the best of my knowledge.

Ken A. Gosnell

REPRESENTATIVE OF COMPANY

Engr. Tech.
TITLE

12-30-87
DATE

Phone 915/688-5672
A/C NUMBER

SIGNATURE: REPRESENTATIVE OF RAILROAD COMMISSION

31. Was Well filled with Mud-Laden Fluid, according to the regulations of the Railroad Commission ☐ Yes ☐ No		32. How was Mud Applied?		33. Mud Weight LBS/GAL	
34. Total Depth _____ Depth of Deepest Fresh Water _____	Other Fresh Water Zones by T.D.W.R. TOP _____ _____ _____ BOTTOM _____ _____ _____	35. Have all Abandoned Wells on this Lease been Plugged according to RRC Rules? ☐ Yes ☐ No 36. If NO, Explain _____ _____ _____			
37. Name and Address of Cementing or Service company who mixed and pumped cement plugs in this well _____ _____				Date RRC District Office notified of plugging _____	
38. Names and Addresses of Surface Owner of Well Site and Operators of Offset Producing Leases _____ _____ _____ _____ _____					
39. Was Notice Given Before Plugging to Each of the Above? 01					
FILL IN BELOW FOR DRY HOLES ONLY					
40. For Dry Holes, this Form must be accompanied by either a Driller's, Electric, Radioactivity or Acoustical/Sonic Log or such Log must be released to a Commercial Log Service. ☐ Log Attached ☐ Log released to _____ Date _____ Type Logs: ☐ Driller's ☐ Electric ☐ Radioactivity ☐ Acoustical/Sonic					
41. Date FORM P-8 (Special Clearance) Filed? _____					
42. Amount of Oil produced prior to Plugging _____ bbls* * File FORM P-1 (Oil Production Report) for month this oil was produced					
RRC USE ONLY Nearest Field _____					

REMARKS _____

Cementer: Fill in shaded areas.
Operator: Fill in other items.

Form W-15
Cementing Report
Rev. 4/1/83
483-045

RAILROAD COMMISSION OF TEXAS
Oil and Gas Division

1. Operator's Name (As shown on Form P-5, Organization Report) Arco Oil and Gas Company	2. RRC Operator No. 029340	3. RRC District No. 7-C	4. County of Well Site Upton
5. Field Name (Wildcat or exactly as shown on RRC records) Wildcat		6. API No. 42- 461-32677	7. Drilling Permit No. 335816
8. Lease Name Kimbell	9. Rule 37 Case No.	10. Oil Lease/Gas ID No. NA	11. Well No. 1

CASING CEMENTING DATA:		SURFACE CASING	INTER-MEDIATE CASING	PRODUCTION CASING		MULTI-STAGE CEMENTING PROCESS	
				Single String	Multiple Parallel Strings	Tool	Shoe
12. Cementing Date		9-25-87	9/28/87				
13. •Drilled hole size		17-1/2	11				
•Est. % wash or hole enlargement •							
14. Size of casing (In. O.D.)		13-3/8	8 5/8				
15. Top of liner (ft.)							
16. Setting depth (ft.)		450	2922				
17. Number of centralizers used		4	4				
18. Hrs. waiting on cement before drill-out		15	14				
1st Slurry	19. API cement used: No. of sacks ▶	500	1250				
	Class ▶	C	C				
	Additives ▶	2% CaCl₂	remarks				
2nd Slurry	No. of sacks ▶		250				
	Class ▶		C				
	Additives ▶		2% CaCl₂				
3rd Slurry	No. of sacks ▶						
	Class ▶						
	Additives ▶						
1st	20. Slurry pumped: Volume (cu. ft.) ▶	660	2175				
	Height (ft.) ▶	Surface	8483				
2nd	Volume (cu. ft.) ▶		330				
	Height (ft.) ▶		1287				
3rd	Volume (cu. ft.) ▶						
	Height (ft.) ▶						
Total	Volume (cu. ft.) ▶	660	2505				
	Height (ft.) ▶	surface	9770				
21. Was cement circulated to ground surface (or bottom of cellar) outside casing?		Yes	yes				

22. Remarks

19 a. 65:35:4 Poz C + 3% salt

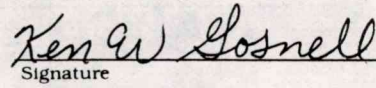
RECEIVED
R.R.C. OF TEXAS
JAN - 4 1988
OIL & GAS
SAN ANGELO, TEXAS

CEMENTING TO PLUG AND ABANDON	PLUG # 1	PLUG # 2	PLUG # 3	PLUG # 4	PLUG # 5	PLUG # 6	PLUG # 7	PLUG # 8
23. Cementing date								
24. Size of hole or pipe plugged (in.)								
25. Depth to bottom of tubing or drill pipe (ft.)								
26. Sacks of cement used (each plug)								
27. Slurry volume pumped (cu. ft.)								
28. Calculated top of plug (ft.)								
29. Measured top of plug, if tagged (ft.)								
30. Slurry wt. (lbs./gal)								
31. Type cement								

CEMENTER'S CERTIFICATE: I declare under penalties prescribed in Sec. 91.143, Texas Natural Resources Code, that I am authorized to make this certification, that the cementing of casing and/or the placing of cement plugs in this well as shown in the report was performed by me or under my supervision, and that the cementing data and facts presented on both sides of this form are true, correct, and complete, to the best of my knowledge. This certification covers cementing data only.

Ronnie Sikes, Operations Supervisor The Western Company
 Name and title of cementer's representative Cementing Company Signature 
 P.O. Box 4717 Odessa, Texas 79760 915 381 2301 9/28/87
 Address City State Zip Code Tel.: Area Code Number Date: mo. day yr.

OPERATOR'S CERTIFICATE: I declare under penalties prescribed in Sec. 91.143, Texas Natural Resources Code, that I am authorized to make this certification, that I have knowledge of the well data and information presented in this report, and that data and facts presented on both sides of this form are true, correct, and complete, to the best of my knowledge. This certification covers all well data.

Ken W. Gosnell Engr. Tech 
 Typed or printed name of operator's representative Title Signature
 Box 1610 Midland TX 79702 915/688-5672 12-30-87
 Address City State Zip Code Tel.: Area Code Number Date: mo. day yr.

Instructions to Form W-15, Cementing Report

IMPORTANT: Operators and cementing companies must comply with the requirements of the Commission's Statewide Rules 8 (Water Protection), 13 (Casing, Cementing, Drilling, and Completion), and 14 (Well Plugging). For offshore operations, see the requirements of Rule 13 (c).

1. What to file. An operator should file an original and one copy of the completed Form W-15 for each cementing company used on a well. The cementing of different casing strings on a well by one cementing company may be reported on one form. Form W-15 should be filed with the following:

- An initial oil or gas completion report, **Form W-2 or G-1**, as required by Statewide or special field rules;
- **Form W-4**, Application for Multiple Completion, if the well is a multiple parallel casing completion; and
- **Form W-3**, Plugging Record, unless the W-3 is signed by the cementing company representative. When reporting **dry holes**, operators must complete **Form W-15, in addition to Form W-3, to show any casing cemented in the hole.**

2. Where to file. The appropriate Commission District Office for the county in which the well is located.

3. Surface casing. An operator must set and cement sufficient surface casing to protect all usable-quality water strata, as defined by the Texas Department of Water Resources, Austin. Before drilling a well in any field or area in which no field rules are in effect or in which surface casing requirements are not specified in the applicable rules, an operator must obtain a letter from the Department of Water Resources stating the protection depth. Surface casing should not be set deeper than 200 feet below the specified depth without prior approval from the Commission.

4. Centralizers. Surface casing must be centralized at the shoe, above and below a stage collar or diverting tool, if run, and through usable-quality water zones. In nondeviated holes, a centralizer must be placed every fourth joint from the cement shoe to the ground surface or to the bottom of the cellar. All centralizers must meet API specifications.

5. Exceptions and alternative casing programs. The District Director may grant an exception to the requirements of Statewide Rule 13. In a written application, an operator must state the reason for the requested exception and outline an alternate program for casing and cementing through the protection depth for strata containing usable-quality water. The District Director may approve, modify, or reject a proposed program. **An operator must obtain approval of any exception before beginning casing and cementing operations.**

6. Intermediate and production casing. For specific technical requirements, operators should consult Statewide Rule 13 (b) (3) and (4).

7. Plugging and abandoning. Cement plugs must be placed in the wellbore as required by Statewide Rule 14. The District Director may require additional cement plugs. For onshore or inland wells, a 10-foot cement plug must be placed in the top of the well, and the casing must be cut off three feet below the ground surface. All cement plugs, except the top plug, must have sufficient slurry volume to fill 100 feet of hole, plus ten percent for each 1,000 feet of depth from the ground surface to the bottom of the plug.

To plug and abandon a well, operators must use only cementers approved by the Director of Field Operations. Cementing companies, service companies, or operators can qualify as approved cementers by demonstrating that they are able to mix and pump cement in compliance with Commission rules and regulations.

RAILROAD COMMISSION OF TEXAS

Oil and Gas Division

Please Read InstructionsELECTRIC LOG
STATUS REPORT

FORM L-1

Rev. 11/01/86

INSTRUCTIONS

When to file the L-1

- with Forms G-1, W-2, and GT-1 for new and deepened gas, oil, and geothermal wells
- with Form W-3 for plugged dry holes
- when sending in a log which was held under a request for confidentiality and the period of confidentiality has not yet expired

When the L-1 is NOT required

- with Forms W-2, G-1, and GT-1 filed for injection wells, disposal wells, water supply wells, service wells, re-test wells, re-classifications, and plugbacks of oil, gas, and geothermal wells
- with Form W-3 for plugging of other than a dry hole

Where to file the L-1

- with the appropriate Commission district office

Filling out the L-1

- Section I and the signature section must be filled out for all wells
- complete only the appropriate part of Section II

Type of log required

- any wireline survey run for the purpose of obtaining lithology, porosity, or resistivity information
- no more than one such log is required but it must be of the subject well
- if such a log is NOT run on the subject well, do NOT substitute any other type of log; just select Section II, Part A below

SEE REVERSE SIDE

SECTION I. IDENTIFICATION

Operator Name ARCO Oil & Gas Co.	District No. 7-C	Completion Date 11-8-87
Field Name Wildcat	Drilling Permit No. 335816	
Lease Name Kimbell	Lease/ID No. NA	Well No. 1
County Upton	API No. 42-461-32677	

SECTION II. LOG STATUS (complete either A. or B.)

☐ A. BASIC ELECTRIC LOG NOT RUN

☒ B. BASIC ELECTRIC LOG RUN from _____ to _____ from _____ to _____

1. Log interval(s): 10736 to 50

2. Select either a or b

☐ a. Confidentiality requested.

☒ b. Log attached to (select one)

☒ (1) Form L-1 (this form). If the company/lease name on log is different from that shown in Section I, please enter here: _____

Check here if attached log is being submitted after being held confidential ☐

☐ (2) Form P-7, Application for Discovery Allowable and New Field Designation.

☐ (3) Form W-4, Application for Multiple Completion: lease or ID no.(s) _____, well no.(s) _____

<u>Ken W. Gosnell</u> signature	<u>Engr. Tech.</u> title
<u>Ken W. Gosnell</u> name (print)	<u>(915) 688-5672</u> phone
	<u>12-30-87</u> date

For Railroad Commission use only

10012-0000
10012-0000
10012-0000
10012-0000

RAILROAD COMMISSION OF TEXAS
OIL & GAS DIVISION
PERMIT TO DRILL, DEEPEN OR PLUG BACK
ON REGULAR LOCATION

lms

PERMIT NUMBER 335816	DATE PERMIT ISSUED OR AMENDED 9/11/87	DISTRICT 7C
API NUMBER 42 461 32677	FORM W-1 RECEIVED 9/11/87	COUNTY UPTON
TYPE OF OPERATION DRILL		ACRES 622.00
OPERATOR ARCO OIL & GAS CO. BOX 1610 MIDLAND TX 79702		NOTICE This permit and any allowable assigned may be revoked if payment for fee(s) submitted to the Commission is not honored. District Office Telephone No.: 915 653-6776
LEASE NAME KIMBELL		WELL NUMBER 1
LOCATION 8.20 MILES SW FROM MCCAMEY		TOTAL DEPTH 10,700
SECTION, BLOCK and/or SURVEY SECTION => 3 BLOCK => ABSTRACT => 159 SURVEY ==> GC & SF RR CO.		
DISTANCE--LEASE LINES 1,850.00 F S - 1,980.00 F W		DISTANCE--NEAREST WELL ON LEASE NA
DISTANCE--SURVEY LINES 1,850.00 F S - 1,980.00 F W		

READ IMPORTANT CONDITIONS AND INSTRUCTIONS ON THE BACK OF THIS FORM

FIELD(S) AND LIMITATIONS

WILDCAT

**** LIMITATIONS ****

THE FOLLOWING RESTRICTIONS APPLY TO ALL FIELDS

**REGULAR PROVIDED THIS WELL IS NEVER COMPLETED IN VIOLATION OF
 APPLICABLE SPECIAL FIELD OR STATEWIDE SPACING RULES.
 REGULAR PROVIDED THIS WELL IS NEVER DRILLED DEEPER THAN 10700 FEET.
 WILDCAT ABOVE 10700 FEET.**

RECEIVED
R. R. C. OF TEXAS
SEP 18 1987
OIL & GAS
SAN ANGELO, TEXAS

RAILROAD COMMISSION OF TEXAS
PERMIT TO DRILL ON REGULAR LOCATION

CONDITIONS AND INSTRUCTIONS

Permit Invalidation. It is the operator's responsibility to make sure that the permitted location complies with Commission density and spacing rules in effect on the spud date. The permit becomes invalid automatically if, because of a field rule change or the drilling of another well, the stated location is not in compliance with Commission field rules on the spud date. If this occurs, application for an exception to Statewide Rules 37 and 38 must be made and a special permit granted prior to spudding. Failure to do so may result in an allowable not being assigned and/or enforcement procedures being initiated.

Permit Expiration. This permit expires one (1) year from the date of issuance shown on the front unless actual drilling operations have begun. A one (1) year extension may be issued if requested of and granted by the Commission in Austin prior to the expiration date. If a permit is amended, the expiration date is one (1) year from the time the amended permit is issued.

Drilling Permit Number. The drilling permit number shown on the front **MUST** be given as reference with any notification to the district (see below), correspondence, or application concerning this permit.

Before Drilling

Fresh Water Sand Protection. The operator must set and cement sufficient surface casing to protect all usable-quality water, as defined by the Texas Water Commission. Before drilling a well where Railroad Commission rules do not specify surface casing requirements, the operator must obtain a letter from the Texas Water Commission stating the depth to which water needs protection. Write: Texas Water Commission, Surface Casing, P. O. Box 13087, Capitol Station, Austin, Texas 78711-3087.

During Drilling

Permit at Drilling Site. A copy of the Form W-1 Drilling Permit Application, the location plat, and this drilling permit must be kept at the permitted well site throughout drilling operations.

***Notification of Setting Casing.** The operator **MUST** call in notification to the appropriate district office (phone number shown on front) a minimum of eight (8) hours prior to the setting of surface casing, intermediate casing, AND production casing. The individual giving notification **MUST** be able to advise the district office of the drilling permit number.

Completion of Drilling

Producing Well. Statewide Rule 16 requires that the operator submit a Form W-2 (oil well) or Form G-1 (gas well) to the appropriate Commission district office within thirty (30) days after completion of such well.

Dry or Noncommercial Hole. Statewide Rule 14(b)(2) prohibits suspension of operations on each dry or noncommercial well without plugging unless the hole is cased and the casing is cemented in compliance with Commission rules. If properly cased, Statewide Rule 14(b)(2) requires that plugging operations must begin within a period of ninety (90) days after drilling operations have ceased if those operations ceased before January 1, 1986 or within a period of one (1) year if those operations ceased on or after January 1, 1986. Plugging operations must proceed with due diligence until completed.

***Notification of Plugging a Dry Hole.** The operator **MUST** call in notification to the appropriate district office (phone number shown on front) a minimum of four (4) hours prior to beginning plugging operations. The individual giving notification **MUST** be able to advise the district office of the drilling permit number.

NOTIFICATION

The operator is **REQUIRED** to notify the district office when setting surface casing, intermediate casing, and production casing, or when plugging a dry hole. Time requirements are given above. The drilling permit number **MUST** be given with such notifications.

DIRECT INQUIRIES TO: DRILLING PERMIT SECTION, OIL AND GAS DIVISION

PHONE:
(512) 463-6751

MAIL:
Capitol Station—P. O. Drawer 12967
Austin, Texas 78711-2967

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OIL & GAS
SAN ANGELO, TEXAS

Return each W-1 with plat and \$100.00 fee.
Make a check or money order payable to the
State Treasurer of Texas. Address to:
Railroad Commission of Texas
Oil and Gas Division, Drilling Permits
P. O. Drawer 12967, Capitol Station
Austin, Texas 78711

File a copy of W-1 and plat in RRC District Office.

RAILROAD COMMISSION OF TEXAS

Oil and Gas Division

Application for Permit to Drill, Deepen, Plug Back, or Re-Enter

Read Instructions on Back

Form W-1
Rev. 9/1/83
483-060

Purpose of filling (mark appropriate boxes):

☒ Drill ☐ Deepen (below casing)

☐ Deepen (within casing)

☐ Plug Back

☐ Re-Enter

API No. 42-
Permit No. 335816

If assigned: Rule 37 Case No. 335816

1. Operator's Name (exactly as shown on Form P-5, Organization Report)

ARCO Oil & Gas Co.

3. RRC Operator No.

029340

4. RRC District No.

7-C

5. County of Well Site

Upton

7. RRC Lease/ID No.

NA

8. Well No.

1

9. Total Depth

10,700

2. Address (including city and zip code)

Box 1610
Midland, TX 79702

6. Lease Name (32 spaces maximum)

Kimbrell

10. Location

Section 3 Block 8.2

Survey

GC & SF RR Co.

SW direction from

McCammy

Abstract No. A-159

This well is to be located 8.2 miles in a SW direction from McCammy which is the nearest town in the county of the well site.

11. Distance from proposed location to nearest lease or unit line

1850 ft.

12. Number of contiguous acres in lease, pooled unit, or unitized tract

622

(OUTLINE ON PLAT)

13. FIELD NAME (Exactly as shown on RRC proration schedule). List all established and wildcard zones of anticipated completion. Attach additional Form W-1's as needed to list these zones. One zone per line.

14. Completion depth

10,000

15. Spacing pattern (ft.)

467/1200

16. Density pattern (ft.)

40

17. Density pattern (ft.)

40

18. In Remarks

No

19. Distance from proposed location to nearest completed well, or other type well (Specify)

NA

20. Oil, gas, or other type well (Specify)

Oil

21. No. of applied for, permitted, or completed locations (including this one) on lease in this reservoir.

1

22. Perpendicular surface location from two nearest designated lines:

Wildcat

22. Perpendicular surface location from two nearest designated lines:

• Lease/Unit 1850 FSL & 1980 FWL
• Survey/Section 1850 FSL & 1980 FWL

If a directional well, show also projected bottom-hole location:

• Lease/Unit
• Survey/Section

23. Is this a pooled unit?

Yes ☐

(Attach Form P-12 and certified plat.)

No ☒

24. Is Item 17 less than Item 16 (substandard acreage for any field applied for)?

Yes ☐

(Attach Form W-1A)

No ☒

25. Is this wellbore subject to Statewide Rule 36 (hydrogen sulfide area)?

Yes ☐

No ☒

If subject to Rule 36, is Form H-9 filed?

Yes ☐

No ☐

If not filed, explain in Remarks.

26. Do you have the right to develop the minerals under any right-of-way that crosses, or is contiguous to, this tract? If not, and if the well requires a Rule 37 or 38 exception, see Instructions for Rule 37.

Yes ☒

No ☐

Remarks

I certify that information stated in this application is true and complete, to the best of my knowledge.

Signature Ken W. Gosnell

Name and title of operator's representative
Ken W. Gosnell Engr. Tech.
688-5672

Date: 9 mo. 9 day 87

Tel: 915 Area Code Number

• RRC Use Only •

OIL & GAS
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M. K. & T. RR CO
Block 1

G. C. & S. F. RR CO

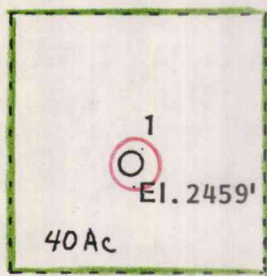
UNIVERSITY LAND
Block 15

4
3

4 10
3 9

ARCO OIL AND GAS COMPANY

1980'



1850'

2 A-159

Kimbell

2 4

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OIL & GAS
SAN ANGELO, TEXAS

I certify that the above plat was prepared from field notes of actual surveys made by me or under my supervision and that the same are true and correct to the best of my knowledge and belief.
Sept. 3, 1987

Guy E. Saunders
Registered Public Surveyor
Licensed State Land Surveyor



GUY E. SAUNDERS

Location Plat
ARCO OIL AND GAS COMPANY
Kimbell Lease
Section 3, Abstract 159
G. C. & S. F. RR CO
Upton County, Texas
Scale: 1" = 1000'

SVN ANGEL O. TEXAS
OIL & GAS
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